01 - LAW ON SALES

Doctrine-first reviewer | Civil Code Arts. 1458-1637 and special laws

UP Diliman | BA 166 - Sales, Agency, and Other Business Transactions

HOW TO STUDY THIS VOLUME

1. Read the plain-language box so you understand the problem. 2. Memorize the technical rule, article/section and elements. 3. Drill the case facts and doctrine separately. 4. Practice issue-spotting: classification -> rule -> elements -> application -> remedy.

Source discipline: The syllabus is the organizing map. Statutes and decisions listed in the source notes are primary anchors where available. The summaries are educational paraphrases, not legal advice and not verbatim case quotations. Always use the version and assigned case text required by the professor.

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How to use this reviewer

This volume follows the syllabus sequence for **Law on Sales**. Each major issue begins with a plain-language rule, then gives the technical legal formulation, key Civil Code provisions, case doctrine, and likely exam traps. Article references follow Republic Act No. 386 (Civil Code), unless otherwise stated.

> **Doctrine-first study rule**
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> For recitation, state the governing rule before narrating the facts. A strong answer identifies the article, lists each element or condition, applies each one to the facts, and ends with the legal effect or remedy. Case digests below paraphrase doctrine; they are not verbatim quotations.

1. The contract of sale: concept, elements, stages

Plain-English version

A sale is an agreement where the seller undertakes to transfer ownership and deliver a specific or determinable thing, while the buyer undertakes to pay a definite price in money or its equivalent. The agreement is generally perfected by consent, but perfection does not mean the buyer already owns the thing: ownership ordinarily passes by delivery.

Technical rule and controlling provisions

Article 1458: the seller obligates himself to transfer ownership and deliver a determinate thing; the buyer pays a price certain in money or its equivalent. The sale may be absolute or conditional. **Articles 1318 and 1350:** a valid contract requires consent, object, and cause; cause in an onerous contract is the prestation or promise of the other party.

- Essential requisites: **consent** (meeting of minds), **object** (determinate or determinable, licit, possible, within commerce), and **cause** (for the seller, the price; for the buyer, the thing/service promised).
- Natural elements arise from law unless excluded where exclusion is allowed. Accidental elements are terms added by the parties, such as a condition, term, or penalty clause.
- A sale is consensual: ordinarily, agreement on the thing and price perfects it under Art. 1475. Delivery, payment, notarization, or registration may be relevant to performance, proof, enforceability, or third-party effect, but are not generally the act of perfection itself.

Stage	What happens	Legal significance
Negotiation	Offers, counteroffers, due diligence, draft terms.	Usually no sale yet; an offer must be certain and acceptance absolute.
Perfection	Meeting of minds on object and price.	Reciprocal obligations arise; either party may demand performance, subject to legal formalities.
Consummation	Performance: delivery, payment, transfer of title and documents.	The obligations are carried out; ownership normally passes by delivery.

Sale is title, not a mode of acquiring ownership

A sale creates the legal basis or *title* for transfer. The mode that ordinarily transfers ownership is **delivery** (tradition). Thus, the buyer may have a perfected sale and a right to demand delivery even before becoming owner. Registration of land titles has a separate role in the system of land registration and in resolving competing claims; it does not turn every unperfected negotiation into a sale.

Characteristics often asked in recitation

- **Consensual:** perfected by consent, ordinarily on thing and price.
- **Principal:** it can stand on its own.
- **Onerous:** each party gives something of value.

- **Commutative in the usual case:** prestations are regarded as equivalent at formation, though adequacy of price is generally not the test of validity by itself.
- **Bilateral/synallagmatic:** both seller and buyer have obligations.
- **Nominate:** specifically governed by the Civil Code provisions on sale.

Absolute sale, conditional sale, and contract to sell

> **Plain-English distinction**
>
> In a contract of sale, the seller has already undertaken to transfer ownership; nonpayment is ordinarily a breach that may support remedies. In a contract to sell, the seller reserves ownership and promises to execute the absolute sale only after a suspensive condition - typically full payment - is fulfilled. Until that condition is met, the seller has not yet become bound to convey title.

Feature	Contract of sale	Contract to sell
Ownership/title	Ordinarily transfers by delivery; seller has a present duty to transfer.	Expressly reserved by seller until the condition is fulfilled.
Nonpayment	Generally breach of a perfected sale; remedies may include fulfillment or resolution under applicable law.	Failure of suspensive condition; seller generally is not yet obliged to convey title.
After full payment	Buyer can demand delivery/title under existing sale.	Seller must still execute/convey absolute sale if terms and condition are satisfied.
Double sale rule	Art. 1544 may apply if there are two valid sales by the same seller.	Art. 1544 generally does not apply to an unconsummated contract to sell as though it were a prior sale.

A **conditional sale** has consent to a sale, but its effects or performance depend on a condition. A **contract to sell** reserves title and makes the seller's later duty to convey dependent on the agreed condition. Do not classify a document only by its title: read the stipulations and ask whether title was reserved and whether the seller promised a present transfer or a future conveyance after full payment. [1, 4]

Distinguish sale from related contracts

Transaction	Core distinction / exam marker
Donation (Arts. 725, 1471)	Gratuitous transfer motivated by liberality; a simulated sale may conceal a donation, but donation formalities then matter.
Barter (Art. 1468)	Thing is given in exchange for another thing; if both money and thing are involved, compare their values to determine whether sale or barter predominates.
Piece of work (Arts. 1467, 1713-1715)	The principal object may be the contractor's labor/skill and the customer's desired result, rather than transfer of an existing thing. Use the relative value of materials and labor and the parties' intent.
Agency to buy/sell (Arts. 1466, 1868)	Agent acts on behalf of a principal and is accountable to the principal; a buyer under sale buys for himself and bears the rights/obligations of the buyer.
Dacion en pago (Art. 1245)	A pre-existing debt is extinguished by the debtor's transfer of property accepted by the creditor; it is not simply an ordinary cash sale.
Lease (Arts. 1643-1645)	Grants use/enjoyment for a period in return for rent; it does not by itself transfer ownership.

2. Parties: capacity and disqualifications

As a general rule, persons with capacity to contract may buy and sell. Analyze both **capacity to give consent** and **special statutory disqualification**. Do not treat them as identical: incapacity may make a contract voidable, while a transaction prohibited by Art. 1491 can be void under Art. 1492 and the applicable rules.

Minors, spouses, and specific-property disqualification

- **Minors (Arts. 1327, 1390, 1399, 1403[3], 1489):** an ordinary contract entered into by a minor acting without proper legal capacity is generally voidable rather than automatically void, subject to statutory exceptions and the Civil Code rules on who may invoke/ratify it. A minor's purchase of necessaries is subject to specific rules. The syllabus also lists Family Code Art. 194; verify the exact family-law context assigned in class.
- **Husband and wife (Arts. 1490-1492; Family Code Arts. 96, 124, 133, 147-148):** test the matrimonial property regime, whether the transaction is between spouses or with a third party, and whether an exception or judicial authority applies. Art. 1490 generally prohibits spouses from selling property to each other, subject to the legal exceptions; Art. 1492 extends specified prohibitions to persons covered by Art. 1491.
- **Art. 1491 disqualified buyers:** guardians as to property of persons under guardianship; agents as to property entrusted to them for administration or sale, unless consented to by the principal; executors/administrators as to estate property; public officers/judicial officers and others in the statutory classes as to property connected with their functions; and lawyers as to property/rights in litigation in the circumstances stated in the article. Read the exact list rather than memorizing a shortened slogan.
- **Old age or sickness (Art. 24):** age alone does not automatically establish incapacity; examine discernment, actual capacity at the time of consent, and evidence. The legal question is not whether the person is old, but whether valid consent existed.

3. Formation, offers, options, formalities

Offer and acceptance

Under Art. 1319, consent is manifested by the meeting of offer and acceptance on the object and cause. The offer must be certain and the acceptance absolute; a qualified acceptance is a counteroffer. Silence or conduct is not automatically acceptance; its legal effect depends on law, prior dealings, the nature of the offer, and the facts.

Option contract, right of first refusal, mutual promise

Concept	Technical distinction	Exam trigger
Option contract (Arts. 1324, 1479)	A separate preparatory contract that keeps an offer open for a period. It requires consideration distinct from the price to bind the offeror during the option period.	Was separate option consideration paid or promised? Was revocation communicated before acceptance?
Right of first refusal	A contractual priority right to be offered the property first if the owner decides to sell. It is not automatically a completed sale or option at a fixed price.	Did the owner trigger the clause by deciding to sell? Were the terms actually offered first to the right-holder?
Mutual promise to buy and sell (Art. 1479, first paragraph)	Bilateral reciprocal promise involving a determinate thing and certain price; once binding, both sides may demand performance.	Is there a true reciprocal commitment or only an expression of future intention?
Letter of intent	Often records preliminary understanding; binding effect depends on definite terms and clear intention to be bound, not its label.	Does it impose enforceable obligations or merely express intent subject to future agreement/funding?

Perfection: special settings

- **Auction (Art. 1476):** sale is generally complete when the auctioneer announces completion by fall of hammer or other customary manner. Each separate lot is a separate sale. A seller's right to bid must be disclosed if reserved; undisclosed seller bidding can implicate statutory remedies.
- **Earnest money (Art. 1482):** ordinarily part of the price and proof that the sale has been perfected. **Option money** is consideration for keeping an offer open, and is not automatically part of the price unless the agreement provides it. The document and the parties' intent control.
- **Place of perfection:** follow general rules for consent and any special rule applicable to the transaction. Distinguish place of perfection from the place of performance or delivery.

- **Expropriation (Art. 1488):** a sale by the State through eminent domain is governed by expropriation law and constitutional just-compensation requirements, not simply ordinary consensual-sale rules.

Formalities: validity, enforceability, convenience

Articles 1356-1358 establish the general rule that contracts are obligatory in whatever form, provided the essential requisites are present, unless the law requires a form for validity, enforceability, or proof. For land sales, separate (1) perfection, (2) Statute of Frauds/enforceability, and (3) public-document/registration consequences.

- **Statute of Frauds (Arts. 1403[2], 1405-1406):** certain executory agreements, including specified sales of goods and interests in real property, require a sufficient written memorandum to be enforceable by action. Partial performance or failure to timely object to oral evidence can take a case outside the bar, depending on the provision and facts. Do not misstate the Statute of Frauds as making every oral land sale void.
- **Sale of land through an agent (Art. 1874):** the agent's authority to sell land or an interest therein must be in writing; otherwise, the sale through that agent is void under the article.
- **Sale of large cattle (Art. 1581):** comply with the special statutory form and registration requirements applicable to the sale.
- **Public document (Art. 1358):** may be required for convenience, registration, or binding third parties; its absence does not automatically mean the underlying consensual contract was never perfected.

Villonco Realty Co. v. Bormaheco, Inc. | G.R. No. L-26872, July 25, 1975

Facts: During negotiations for land, the parties exchanged written proposals, discussed terms, and part of the price was paid. The seller argued that no sale had been perfected because the acceptance allegedly qualified the offer.

Issue: Was there a meeting of minds on the thing and price, or was the acceptance a counteroffer?

Doctrine: The Court examined the substance of the exchange and found the essential terms agreed upon. Under Arts. 1319 and 1475, an acceptance must be absolute; however, a clarification or non-material request does not necessarily destroy acceptance if the response remains a positive and unequivocal acceptance of the offer.

Exam use: Identify the alleged deviation and decide whether it changes an essential term. Cite the rule first, then compare the actual offer and acceptance. Do not mechanically label every requested clarification a counteroffer.

Sanchez v. Rigos | G.R. No. L-25494, June 14, 1972

Facts: Rigos signed an instrument entitled Option to Purchase land for a fixed price within a stated period. Sanchez attempted to exercise it by tendering the price; Rigos refused.

Issue: Can an accepted unilateral promise be kept irrevocable even without consideration distinct from the price?

Doctrine: Under Art. 1479 read with Art. 1324, a unilateral promise unsupported by distinct option consideration may be withdrawn before acceptance is communicated. But while it remains unwithdrawn, it can operate as an offer; timely acceptance before communicated withdrawal can result in a binding sale. The later en banc rule in Sanchez controls over inconsistent earlier doctrine.

Exam use: Separate the validity of the option as a preparatory contract from the offer's ability to become a sale when accepted before withdrawal. Do not say "no separate consideration means no contract can ever arise."

Tanay Recreation Center v. Fausto | G.R. No. 140182, April 12, 2005

Facts: A lease included a priority right to purchase if the lessor decided to sell. The property was transferred without first giving the lessee the promised priority.

Issue: What is the effect of a right of first refusal incorporated into another contract?

Doctrine: The right of first refusal is a contractual right that obliges the owner, upon deciding to sell, to make the first offer to the holder on the terms contemplated by the clause. Where integrated into a lease, it may be an indivisible term supported by the lease consideration.

Exam use: Ask whether the owner had decided to sell, whether the right-holder received a genuine first offer, and whether the terms were sufficiently ascertainable. It is not automatically identical to an option at a pre-fixed price.

United Muslim and Christian Urban Poor Association v. BRYC-V Development Corp. | G.R. No. 179653, July 31, 2009

Facts: A landowner issued a letter stating an intention to sell a parcel to an association that needed financing. The proposed acquisition depended on raising funds; the association failed to acquire another portion within an extension, and the owner sold the parcel to a third party.

Issue: Did the letters of intent create a reciprocal, enforceable promise to sell and buy under Art. 1479?

Doctrine: The Court treated the letters as expressions of intention, not a sale, option, or binding bilateral promise. They lacked a definite commitment to sell exclusively to the association and were part of preliminary financing steps. The case also explains the distinction between contract to sell and conditional sale and why Art. 1544 does not simply apply to an unconsummated contract to sell.

Exam use: Read the whole instrument, not just the heading. Look for definite object and price, a present promise to be bound, exclusivity/title reservation, and a condition that triggers conveyance.

4. Subject matter and price

Subject matter: determinate, licit, possible, within commerce

Arts. 1347-1349 and 1459-1464 require a lawful and possible object that is determinate or capable of being made determinate without a new agreement. Present goods, future goods, and things with potential existence can be sold within the Code's rules. A contract cannot validly sell something outside commerce or an object prohibited by law.

- **Present and future goods (Art. 1462):** future goods may be the subject of sale; the arrangement may be an executory contract.
- **Emptio rei speratae (Art. 1461):** sale of an expected thing; efficacy depends on the thing coming into existence. No thing, generally no sale obligation to pay as if it existed.
- **Emptio spei (Art. 1461):** purchase of a hope/chance itself; the buyer may bear the risk even if the expected thing never materializes, if that is what the parties truly contracted for.
- **Specific things:** sale of an undivided interest (Art. 1463) passes only the seller's own share/right. For sale of a share in a specific mass of fungible goods (Art. 1464), examine whether the goods are sufficiently identified and how the seller's share is allocated.
- **Litigated property:** check Arts. 1381(4), 1385 and special limits; a sale of a thing in litigation may be rescissible in the circumstances stated by law.

Price/cause: certain or ascertainable, real, lawful

Arts. 1469-1474 require a price that is certain or ascertainable under the contract or a mechanism the parties selected. A price may be fixed by reference to a specified thing or market standard; the parties cannot simply leave it entirely to the uncontrolled will of one party. When no price is agreed and no workable mechanism exists, Art. 1474 may treat the sale as inefficacious unless the buyer has accepted and paid in accordance with the provision.

- **Adequacy (Arts. 1355, 1470):** a low price alone generally does not invalidate a sale if the price is real and consent is valid. Gross inadequacy may be evidence of fraud, mistake, undue influence, simulation, or another vitiating fact.
- **Simulated price (Arts. 1345-1346, 1471):** absolute simulation may mean no real contract; relative simulation may permit the parties' true agreement to be given effect if lawful and not prejudicial to third persons.
- **False price:** determine whether price was actually agreed and whether the discrepancy reflects fraud, simulation, or a separate legal defect. Do not equate every undervalued transaction with simulation.
- **Money or equivalent (Art. 1468):** if the consideration is primarily another thing, analyze barter; if money predominates, sale rules generally govern.

5. Seller obligations: care, ownership, delivery, expenses

Take care and transfer ownership

Before delivery, the seller must take care of the thing with the diligence required by Art. 1163 and the contract. Under Arts. 1477, 1496 and 1497, ownership ordinarily transfers upon actual or legally recognized constructive delivery, not at the bare moment of perfection.

Sales where ownership transfer is delayed or special

- **Sale on return (Art. 1502):** the buyer may return the goods; title/risk depend on the terms and the applicable classification, generally remaining with seller until buyer approves/accepts or the return period expires.

- **Sale on approval, trial, or satisfaction (Art. 1502):** title generally passes when buyer signifies approval/acceptance, does an act adopting the transaction, or retains the goods beyond the stated/reasonable time without rejection, as provided by law and contract.
- **Express reservation (Art. 1478):** parties may reserve ownership until full payment or another condition. Analyze the actual clause.
- **Implied reservation in shipment (Art. 1503):** certain shipping/payment-document arrangements may show the seller reserved the right of disposal. Do not assume that physical possession of goods by a carrier equals transfer of title in every case.

Sale by a non-owner; voidable title

Art. 1459 says the vendor must have the right to transfer ownership at the time ownership is to pass. The basic rule is nemo dat quod non habet: a person generally cannot transfer a better title than the person has. Art. 1505 has exceptions, including circumstances involving estoppel, statutory sales, merchant stores/markets/fairs, and other exceptions recognized by law. Art. 1434 deals with a seller who later acquires title; Art. 1506 protects a good-faith purchaser for value from a person with voidable title before the title is avoided, subject to the article's conditions.

Actual and constructive delivery

Delivery type	Meaning / exam cue
Actual (Art. 1497)	Physical transfer of possession.
Public instrument (Art. 1498)	Execution of a public instrument may operate as constructive delivery, unless the deed or circumstances show the contrary or the seller cannot transfer control.
Traditio longa manu	Delivery by pointing out or placing the thing at buyer's disposal where legally sufficient.
Traditio brevi manu	Buyer already possesses the thing in another capacity and begins possessing it as owner.
Constitutum possessorium (Art. 1500)	Seller transfers ownership but remains in physical possession under a different legal title, such as lessee.
Carrier (Arts. 1523, 1503)	Delivery to a carrier can count as delivery under the Code and contract, but risk/title must still be assessed under the applicable rules and shipping terms.

Always ask: what was the thing, who had possession, what document or act occurred, did the seller retain control, what did the contract say, and was delivery complete under the relevant article? Commercial shipment terms such as FOB, CIF, and FAS allocate transport-related duties and risks according to their agreed meaning; do not substitute a generic rule for the actual trade term.

Incidents of delivery

- The seller must deliver the thing agreed upon, including its accessions/accessories as required by law and contract (Arts. 1164, 1537).
- Place, time and delivery expenses are governed by Art. 1521 and the parties' contract. If no time is specified, use the statutory reasonable-time approach. Whether time is of the essence is a matter of construction and circumstances, not a magic phrase alone.
- Arts. 1522 and 1583 govern short/extra quantities and installment deliveries. Analyze whether buyer may reject all, accept the conforming part, or reject excess, and whether installments are severable under the contract.
- Under Arts. 1584-1588, the buyer's opportunity to inspect, acceptance, notice of rejection, and wrongful rejection have separate consequences. Acceptance is not always a precondition to the fact of delivery, but it affects remedies and proof.
- A vendor may have a right to withhold delivery in the cases stated in Arts. 1524, 1536 and 1198, including relevant failure of counter-performance or impairment of security; apply the statutory preconditions precisely.

6. Buyer obligations

The buyer's central obligation is to pay the agreed price at the time and place fixed by the contract or law (Art. 1582) and to accept delivery when the seller properly tenders conforming goods. Under Art. 1589, interest may be due in the circumstances stated there, including a stipulation, fruits/revenues received, or delay after the thing has been delivered. Art. 1590 allows suspension of payment in the specified situation where the buyer is disturbed in possession or ownership, or has well-founded fear of such disturbance, subject to the statutory exception and the seller's provision of security.

- Acceptance can be express or inferred from conduct that adopts the transaction (Art. 1585).
- A buyer can reject nonconforming goods when the legal conditions are met (Arts. 1587-1588); wrongful refusal may expose the buyer to damages or other remedies.
- The buyer generally bears expenses assigned by contract or the last paragraph of Art. 1521; the seller's expense obligation under Art. 1487 should also be checked.
- Do not conflate payment, acceptance, delivery, transfer of title, and registration: they are related but legally distinct events.

7. Double sale: Article 1544

The indispensable first question

Article 1544 applies only when the same seller makes two or more valid sales of exactly the same property to different buyers whose claims conflict. If one transaction is only a contract to sell, or if the purported sales come from different vendors without authority linking them, the double-sale rule may not apply. [6]

Property	Priority rule in Art. 1544	Critical qualification
Movable	The buyer who first takes possession in good faith.	Prove possession and good faith; possession must be the legally relevant possession.
Immovable	The buyer who in good faith first records the acquisition in the Registry of Property.	Registration must be in good faith; a buyer aware of the prior sale cannot win simply by registering first.
Immovable, no inscription	The buyer who in good faith is first in possession.	Possession and good faith must be established.
Neither registered nor possessed	The buyer who presents the oldest title, provided there is good faith.	Oldest title is the last fallback, not the first rule.

The familiar phrase "first in time, first in right" is not the actual sequence in Art. 1544. For immovables, good-faith registration is first; only if there is no inscription do possession and then oldest title matter. **Cheng v. Genato** states the requisites: (1) at least two valid sales over exactly the same subject matter; (2) conflicting buyers; and (3) both acquired from the same seller. Good faith is a separate and decisive inquiry at the relevant point. [6]

Paylago v. Jarabe | G.R. No. 38152, September 20, 1990

Facts: Competing land claims arose from dealings involving hereditary/co-owner interests and a parcel with a history of earlier transfers.

Issue: Can a party rely on a priority rule without proving the legally relevant title, authority, and good-faith facts?

Doctrine: Use the case as a warning that resolving competing claims first requires determining what share the transferor could convey, the operative title, and the relevant facts concerning possession/registration. Do not jump directly to Art. 1544 without establishing its requisites.

Exam use: For an immovable, write the priority ladder in order and separately analyze good faith. Check whether every buyer bought from the same seller and whether that seller had authority over the exact interest sold.

8. Representations and warranties

Representations, conditions, opinions, warranties

A representation is a factual assertion made in negotiation; a warranty is a contractual assurance whose breach can give rise to contract remedies. Art. 1545 addresses conditions and their relation to breach. Art. 1546 covers express warranties: an affirmation of fact or promise relating to the thing can be a warranty if it naturally tends to induce the buyer to purchase and the buyer relies on it. Mere opinion or dealer's talk is generally not a warranty under Arts. 1341 and 1546 unless the statutory facts - such as expert status and reliance - apply.

Implied warranty of title and eviction

Arts. 1547-1560 address implied title warranty and eviction. Eviction under Art. 1548 occurs when, by final judgment based on a right prior to the sale or an act imputable to the seller, the buyer is deprived of all or part of the thing. The syllabus lists the elements; learn them as a checklist rather than as one vague definition.

- 1. Total or partial deprivation of the thing purchased.
- 2. Deprivation by final judgment (subject to the Code's detailed rules).
- 3. Judgment based on a right existing before the sale or an act imputable to the vendor.
- 4. Seller was summoned and made a co-defendant in the eviction suit as required by Arts. 1558-1559, unless an exception applies.
- 5. Buyer did not waive the warranty.
- **Remedies (Arts. 1555-1556):** depending on the case, recovery may include the value of the thing at eviction, fruits, costs, expenses, damages and other statutory items. Match the remedy to total/partial eviction and good/bad faith where relevant.

Hidden defects and hidden encumbrances

Arts. 1561-1571 concern hidden defects in the thing sold; Art. 1560 concerns an immovable burden or servitude not apparent and not disclosed. Focus on whether the defect was hidden, sufficiently serious, existed at the time of sale, was not known or waived by the buyer, and was raised within the relevant period.

- **Accion redhibitoria:** buyer seeks to withdraw from/rescind the sale because the defect is sufficiently serious; the thing is returned and price/expenses are handled under the Code.
- **Accion quanti minoris:** buyer keeps the thing but seeks a proportional reduction of price.
- Arts. 1568-1569 address loss of the thing because of the hidden defect or a fortuitous event and the seller's knowledge. The seller's knowledge can affect damages.
- Art. 1571 contains a six-month period for the actions for hidden defects from delivery. Do not assume every consumer warranty or special statutory claim shares the same period; special laws and contractual warranties can alter the analysis.

Implied warranty as to quality

Arts. 1562-1567 deal with fitness for a particular purpose and merchantable/acceptable quality concepts. The buyer's purpose must be made known where required, and reliance on the seller's skill or judgment matters. Art. 1563 has a special rule on sale under a patent or trade name; Art. 1565 addresses sale by sample. The remedy is generally the redhibitory or price-reduction action, subject to the statute and the special rules in the Code.

9. Risk of loss or deterioration

Do not answer "risk always follows ownership" without identifying the applicable provision and transaction type. Art. 1504 generally allocates risk by reference to whether property in the goods has passed, unless the parties agree otherwise, but the Code has special rules for seller/buyer fault, delay, shipment, sales on return/approval, hidden defects, and fungible goods priced by weight/number/measure.

- Before perfection: there generally is no completed sale allocation under ordinary sale rules; analyze the actual obligation and any prior risk arrangement.

- At perfection but before delivery: separate ownership transfer from risk allocation. Arts. 1480, 1504, 1163-1165 and 1262-1269 may all be relevant depending on the goods and event.
- After delivery: buyer ordinarily bears the risk once the relevant rule transfers it, but warranty rights for hidden defects and seller-caused loss remain separate.
- Loss due to seller's or buyer's acts is not a neutral fortuitous event. Analyze negligence, delay, and contractual fault before applying fortuitous-event rules.
- For a sale on return or approval/trial, Art. 1502 contains tailored rules. Do not transfer the ordinary risk rule mechanically into these transactions.

10. Breach, actions and remedies

Seller remedies

- **Action for price (Art. 1595):** generally available when the buyer wrongfully neglects or refuses to pay in circumstances where the seller may maintain that action.
- **Damages (Art. 1596):** seller may claim damages for nonacceptance or repudiation under the statutory conditions.
- **Rescission (Art. 1597):** available in the circumstances stated for buyer's repudiation, wrongful refusal to accept, or failure to pay, subject to the Code.
- **Unpaid seller's rights in goods (Arts. 1525-1535):** lien while in possession, stoppage in transitu when buyer is insolvent, resale in authorized cases, and rescission where the statutory conditions are met. Each has distinct triggers and consequences.

Buyer remedies

- **Specific performance (Art. 1598):** buyer may seek an order requiring the seller to perform where damages are inadequate or the statutory requirements are met.
- **Damages (Art. 1599):** available for breach of warranty and other seller defaults, using the statutory measure and the facts.
- **Short or excess quantity, mixed goods, installments, land by unit or lump sum:** use the specific rules in Arts. 1522, 1539-1543, and related provisions; do not jump directly to general contract damages.
- **Suspension of payment (Art. 1590):** this is a defense/right under prescribed conditions, not a general license to stop paying whenever dissatisfied.

Recto Law (Arts. 1484-1486)

> **Fast rule**
>
> For a sale of personal property payable in installments, Art. 1484 gives the seller an election among (1) exact fulfillment; (2) cancellation after failure to pay two or more installments; or (3) foreclosure of the chattel mortgage if one was constituted. If the seller chooses foreclosure under the third remedy, the seller cannot recover any deficiency after applying the proceeds. The seller cannot evade the prohibition by taking a different label for the same transaction.

Art. 1485 applies the relevant Recto rules to certain transactions structured as leases of personal property with an option to buy where the lessee fails to pay rent/instalments under the statutory terms. Art. 1486 addresses stipulations permitting the seller to retain installments or payments in authorized circumstances and the limits on such stipulations. Confirm the transaction is within the law's coverage before applying it.

Maceda Law (Republic Act No. 6552)

RA 6552 protects buyers of real estate on installment payments, subject to statutory coverage and exclusions. It is a special statute and should be read directly for the required thresholds, grace periods, notices, and cancellation consequences.

Payment history	Statutory protection to memorize
At least 2 years of installments (Sec. 3)	Grace period generally equal to one month for every year of installment payments; cancellation only after the required 30-day period from receipt of notice of cancellation or demand for rescission by notarial act and payment of the cash surrender value.
Cash surrender value (Sec. 3)	Generally 50% of total payments made; after five years of installments, the law adds 5% for every year of payments beyond five years, capped at 90% of total payments. Check the statutory wording and calculation in the current official text.
Less than 2 years of installments (Sec. 4)	At least a 60-day grace period from the date the installment became due; cancellation only after the further 30-day notice/deed-of-rescission requirement by notarial act.
Other buyer rights (Secs. 5-6)	Rights may include prepayment, assignment/transfer, and reinstatement subject to the exact statutory conditions. Stipulations contrary to the Act are addressed in Sec. 7.

The basic exam trap is using the two-year threshold incorrectly: first determine the total installment-payment history, then select the correct section and calculate notice/grace/cash-surrender consequences. Also verify whether the transaction is for residential real estate within coverage; do not automatically apply the Maceda Law to all land or commercial-property deals. [8]

Sale of condominium units - PD 957

The syllabus directs attention to Presidential Decree No. 957, including coverage, issuance of title, and the developer's failure to deliver with or without cause. Keep the distinction between a buyer's right to suspend installments because of a developer's failure (Sec. 23) and the developer's statutory rights when the buyer defaults without just cause (Sec. 24). Review the exact covered project/developer definitions and Sec. 25 title-delivery rule in the actual law; contract clauses cannot automatically override mandatory statutory protections.

11. Extinguishment of sale and redemption

Conventional redemption

Under Art. 1601, conventional redemption exists when the seller reserves the right to repurchase the thing sold, subject to the law. Art. 1606 provides the relevant period rules: if no period is agreed, the statutory default applies; a period longer than the statutory maximum is restricted; and the article has a separate rule related to a final judgment. State the fact pattern and compute the applicable deadline instead of memorizing only "ten years."

Equitable mortgage vs. pacto de retro sale

Art. 1602 lists circumstances in which a purported sale with right to repurchase is presumed to be an equitable mortgage, such as an unusually inadequate price, seller remaining in possession as lessee or otherwise, extension/repetition of redemption period, buyer retaining part of the price, seller's payment of taxes, and other circumstances showing the real intention was security for a loan. Under Art. 1603, in case of doubt a contract purporting to be a sale with right to repurchase is construed as an equitable mortgage. Art. 2088 prohibits pactum commissorium - automatic appropriation by the creditor of collateral upon default.

Conventional redemption	Option to buy
A completed sale exists now; seller reserves a statutory/contractual right to repurchase.	An option is a separate preparatory right to enter into a future sale if properly exercised.
The right is exercised by the original vendor or other persons authorized by law, against the vendee/persons legally subject to redemption.	The option holder exercises within the option period and on the option's terms.
The Civil Code controls the redemption period, price and effects.	Distinct consideration is necessary to bind a unilateral option under Art. 1479 / Art. 1324.

Legal redemption

Legal redemption arises by operation of law in specific cases, including co-owners (Art. 1620), co-heirs in the situation governed by Art. 1088, and adjoining owners of rural or urban lands under Arts. 1621-1622. The statutory conditions differ by category. Art. 1623 addresses written notice and the period for exercising redemption; in exam answers, identify the specific class, triggering sale/notice, and start date before giving a deadline.

12. Case doctrine drill - quick recall

- **Cheng v. Genato:** Art. 1544 applies only where the competing transactions are valid sales of the same thing, the buyers' interests conflict, and both buy from the same seller. Do not forget good faith.
- **Sale vs. contract to sell:** determine if the seller already has a present duty to convey title or has reserved title until full payment; that classification controls breach, cancellation and double-sale analysis.
- **Vices of consent (Arts. 1330, 1331, 1338):** identify mistake, fraud, or other legally recognized vice and explain materiality/causation. Mere regret or a bad bargain is not enough.
- **False/simulated price:** distinguish a merely low price from a non-real or simulated price, and determine whether the true transaction is lawful.
- **Non-owner sale:** begin with Art. 1459 / nemo dat, then test each claimed statutory exception rather than assuming good faith always cures lack of ownership.

13. Exam attack plan

- 1. Classify the transaction: sale, contract to sell, option, right of first refusal, barter, agency, lease, dacion en pago, or equitable mortgage.
- 2. State the applicable article and exact legal test.
- 3. Check all requisites one by one: capacity, definite object, price/cause, consent, form, condition, delivery, title, registration, good faith.
- 4. Identify the event date: perfection, delivery, default, notice, registration, judgment, or expiration of a period.
- 5. State the legally available remedy and any bar on cumulative remedies or deficiency recovery.
- 6. Apply special statutes (Recto, Maceda, PD 957) only after confirming statutory coverage.

NOTE / CHECK BEFORE EXAM: Precision checkpoint: this reviewer follows the syllabus headings and statutory anchors. A case name listed without full factual text in the syllabus should be read in its complete assigned decision before memorizing a verbatim quotation. The case summaries here are paraphrases, not quotations.

Primary sources and assigned-case links

Use the statutory text for the exact element, exception, deadline and consequence. For a named case, read the full decision and preserve the Supreme Court's exact formulation if the professor expects a verbatim doctrine. Some case entries below point to the relevant official/primary-source page; where the syllabus lists a case name without a verified direct decision URL, the general search portal is identified transparently.

[1] Civil Code of the Philippines, Republic Act No. 386 (especially Arts. 1156-1358, 1458-1637)
https://lawphil.net/statutes/repacts/ra1949/ra_386_1949.html

[2] Sanchez v. Rigos, G.R. No. L-25494, June 14, 1972
https://lawphil.net/judjuris/juri1972/jun1972/gr_l-25494_1972.html

[3] Villonco Realty Co. v. Bormaheco, Inc., G.R. No. L-26872, July 25, 1975
https://lawphil.net/judjuris/juri1975/jul1975/gr_l_26872_1975.html

[4] United Muslim and Christian Urban Poor Association, Inc. v. BRYC-V Development Corp., G.R. No. 179653, July 31, 2009
https://lawphil.net/judjuris/juri2009/jul2009/gr_179653_2009.html

[5] Tanay Recreation Center and Development Corp. v. Fausto, G.R. No. 140182, April 12, 2005 (case metadata; locate full decision through Lawphil/SC)
https://lawphil.net/

[6] Cheng v. Genato, cited for Article 1544 requisites; see Supreme Court discussion in G.R. No. 222530 (2019)
https://lawphil.net/judjuris/juri2019/oct2019/gr_222530_2019.html

[7] Paylago v. Jarabe, G.R. No. 38152, September 20, 1990
https://lawphil.net/judjuris/juri1990/sep1990/gr_38152_1990.html

[8] Maceda Law, Republic Act No. 6552 (1972)
https://lawphil.net/statutes/repacts/ra1972/ra_6552_1972.html

[9] Consumer Act, Republic Act No. 7394 (for cross-reference to warranties)
https://issuances-library.senate.gov.ph/legislative%2Bissuances/Republic%20Act%20No.%207394

[10] Philippine Lemon Law, Republic Act No. 10642
https://ldr.senate.gov.ph/legislative%2Bissuances/Republic%20Act%20No.%2010642

Prepared as a course study aid from the provided BA 166 syllabus and the cited statutes/cases. Verify amendments, implementing rules, class handouts and any professor-specific formulation before relying on an exact quotation.